

Agency vs. Brokerage: Are They the Same?

A brokerage is a firm that offers to negotiate real estate transactions on behalf of buyers and sellers. Brokerage services are the services you may offer as a licensed real estate professional-and only people who hold a real estate license may offer real estate brokerage services.

You may end up working for a large firm, a small firm, an independent firm, or one belonging to a large national franchise. No matter what type of firm you work for, you will be offering brokerage services as an agent of your broker. Even when you enter into a listing agreement with a seller, you are doing so as an agent of your broker, and your broker owns that listing. Your broker is responsible for your activities, even though you may be an independent contractor. As your broker's agent, you owe your broker and brokerage fiduciary duties, and you must comply with all the rules of your brokerage.